rates do not have to be set to keep the value of the exchange rate within pre-determined bands.

vii) Offers the most appropriate framework for the international allocation of resources through the trade process.

Disadvantages

i) Market forces may fail to determine the appropriate exchange rate; hence, the floating exchange rate regime may not provide the desired results and may lead to the misallocation of resources.

ii) It is impossible to have an exchange rate system without official intervention. The government may not intervene, however domestic monetary policy and fiscal policy would influence the exchange rate.

iii) A wildly fluctuating exchange rate is at the mercy of national and international currency speculators. A volatile exchange rate introduces considerable uncertainty in export and import prices and consequently to economic development. At the same time, the abolition of exchange controls causes capital flight.

7.5.3 Managed floating

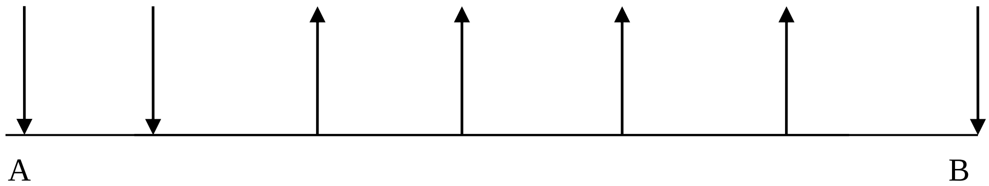
Many countries are practising a system of the managed floating exchange rate at present. The central banks have been trying to control fluctuations of exchange rates around some '*narrow band*', however, the demand and supply forces determine the exchange rate. The decision to vary exchange rates can occur in the context of a variety of international monetary payment schemes. Countries may operate at a fixed rate but allow occasional variations for fundamental disequilibria. This is the *adjustable peg system* whereby rates can be pegged at new levels. Countries may allow rates to vary freely within agreed bands. Countries may allow unrestricted variation of rates. This allows a country to dispense with holding foreign reserves which represent a sacrifice of consumption.

In this hybrid exchange rate system, the exchange rate is determined in the foreign exchange market through the operation of market forces. Market forces mean the selling and buying activities by various individuals and institutions. The management of a floating rate is sometimes referred to in the literature as a '*dirty float*'. It is unlikely that the authorities in any country could remain completely indifferent to the behaviour of the exchange rate, and yet this is what the advocate of completely flexible rates recommends. Managed or dirty floating is the more usual alternative to participation in a fixed exchange rate system. In practice, a managed fiat permits the authorities to intervene in the foreign exchange markets, using direct open market operations, interest rates, or some combination of both.

In this context, the following table is very instructive:

Table 7.1: Forms of exchange rate regime

Fixed (pegged) Floating Exchange Exchange Rate Rate	Adjustable Peg	Crawling Peg	Managed Float	Winder Freely Band System



In the Table, as one moves from point A on the left to point B on the right, both the frequency of intervention by domestic monetary authorities and the required level of international reserves tend to be lower. Under a pure fixed-exchange-rate regime (point A), authorities intervene so that the value of the domestic currency *vis-a-vis* another country's currency says the US Dollar, is maintained at a constant rate. Under a freely floating exchange-rate regime, authorities do not intervene in the market for foreign exchange and there is minimal need for international reserves.

However, it remains true that there is no single exchange rate regime that is best for all countries in all circumstances. Countries continue to have the scope to choose the type of exchange rate regime that best suits their needs, always with the proviso that the chosen regime must be credibly supported by policies consistent with the choice. In light of important changes which include the general increase in capital mobility and the abrupt reversals of capital flows to developing and transition economies.

7.5.4 Recurrence of instability suggests a new regime

It is important to note that currently there have been shifting trends in the exchange rate regime. *After the breakdown of Bretton Woods, countries have adopted a wide variety of regimes, ranging from 'dollarisation' and currency boards to simple pegs and basket pegs, crawling pegs and target zones to clean floats and dirty floats.* There is such an abundance of possible linkages between the exchange rate regime and macroeconomic performance—some offsetting, others reinforcing—that, at a theoretical level, it is difficult to establish any unambiguous relationships at all. While increased capital mobility has been leading an increasing number of countries to either end of the spectrum between firmly fixed rates (or monetary unification) and free-floating, intermediate regimes are likely to remain viable and appropriate in many cases.

The recurrence of concerns and phases of instability suggests a need to look for durable remedies. Leaders continue to campaign for Bretton Woods II. It has been a feature of the **non-system** that exchange rates have at times, moved to positions that appear to be at variance with conditions prevailing in, and the longer-term interests of, domestic economies. Currently, the world economy is *generally* organised along flexible lines, but many countries choose to manage their currencies either alongside or in partnership with other currencies and countries.

There is a demand for *reform in the International Monetary System. Zhou Xiaochuan*, the former governor of the People's Bank of China proposed a gradual move towards increased use *of **IMF special drawing rights (SDRs)*** as a centrally managed global reserve currency. His proposal attracted much international attention. In December 2011, the Bank of England published a paper arguing for reform, saying that the current regime has performed poorly compared to the *Bretton Woods system*.

The steps required to move to an SDR-based system would be groundbreaking. A somewhat less ambitious alternative would be to make the SDR one of the alternative reserve currencies in a multicurrency system. Despite its relative stability, the current '*non-system*' has the inherent weaknesses of a setup with a dominant country-issued reserve currency, wherein the reserve issuer runs fiscal and external deficits to meet growing world demand for reserve assets and where there is no ready mechanism forcing surplus or reserve-issuing countries to adjust.

The current system has flaws, including occasional bouts of serious instability, but it has proved its strength and resilience when the conceivable alternatives have not. Charting the road ahead, the main task should be to help policymakers think beyond the status quo in fundamental ways. In this spirit, serious consideration should be given to alternatives to self-insurance, and to the potential—practical and political—for other currencies to acquire a greater role in the global reserve system. Such work could help the system evolve to shape developments rather than the other way around, as has historically tended to be the norm.

Neither the theory nor country experiences are very conclusive nor do exchange rate regimes have their benefits and costs. The suitability of a particular regime, however, depends on the policy target of a country.

Check Your Progress 3

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) What are the main types of exchange rate systems? Does the choice of exchange rate regime matter?

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2) Explain the differences between fixed and flexible exchange rate systems and the advantages and disadvantages of each.

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3) What is Managed Floating Exchange Rate System?

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4) What are the main factors which determine the effectiveness of a floating exchange rate policy? Currently, which type of system determines the values of the major currencies, such as the Dollar, Yen, and Euro?

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5) What is a currency appreciation or depreciation? Point out the advantages and disadvantages of each.

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6) Explain how the choice of an exchange rate regime alters the conduct of monetary policy?

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7) Do you think the operation of non-system and recurrence of crisis needs a new regime for currency?

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7.6 INDIA’S EXCHANGE RATE REGIME

The main objectives of India’s exchange rate policy are to ensure that the economic fundamentals are truly reflected in the external value of the rupee. In the post-independence period, India's exchange rate policy has shifted from a par value system to a basket-peg and to a managed float exchange rate system. The policy has evolved in line with the gradual opening up of the economy as part of the broader strategy of macroeconomic reforms and liberalization since the early 1990s.

India's rupee has matured to a regime of the floating exchange rate from the earlier versions of a '*managed float*'. The exchange rate policy is guided by the need to reduce excess volatility, prevent the emergence of speculative activities, help maintain adequate reserves, and develop an orderly foreign exchange market. The current exchange rate regime has been accompanied by full '*Convertibility on current account*' with effect from August 20, 1994. Moving forward, as India progresses towards full capital account convertibility and gets more and more integrated with the rest of the world, managing periods of volatility is bound to pose greater *challenges given the impossible trinity of independent monetary policy, open capital account and exchange rate management*. The principal features of the current exchange rate regime in India can be stated as follows:

i) The rates of exchange are determined in the market.

ii) The freely floating exchange rate regime continues to operate within the exchange control framework.

iii) RBI can intervene in the market to modulate the volatility and sharp depreciation of the rupee.

iv) The US dollar is the principal currency for RBI transactions.

v) The RBI also announces a Reference Rate based on the quotations of select banks in Bombay at noon every day. The Reference Rate applies to SDR transactions and transactions routed through the Asia Clearing Union.

Check Your Progress 4

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Trace the historical development of the exchange rate regime in India.

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2) Discuss some of the features of the current exchange rate system in India.

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7.7 LET US SUM UP

In this unit we discussed about various exchange rate regimes. Exchange rate regime is an integral part of every country's economic and monetary policy. An exchange-rate regime is a way an authority manages its currency in relation to other currencies and the foreign exchange market. There are three types of exchange rate systems globally: flexible or floating exchange rate systems, fixed exchange rate systems and managed floating (intermediate exchange rate system). Under ***fixed exchange rates***, governments decide to fix their rates to some other standard, either a dominant currency such as the dollar, or a basket of currencies or gold. Under floating exchange rates, the market determines the outcomes of rates. In a ***floating exchange rate regime*** the market's demand for and supply of the currency determines the exchange rate. There is no pre-determined official target for the exchange rate set by the government. The latter and/or the central bank can indirectly influence the exchange rate by managing the level of domestic and foreign currencies in the banking system. In managed exchange rate regimes, the value of the currency is determined to vary degrees by government intervention. A country can alter the degree to which it intervenes in the foreign exchange market. ***Managed float*** *is also referred to as dirty float*. The exchange rate is the dominant target of economic policymaking.

Balance of payments on current account disequilibrium can automatically be restored to equilibrium through a floating exchange rate regime and the scarcity or surplus of any currency is eliminated. Balance of payment adjustment is smoother and painless under a floating exchange rate regime compared to a fixed exchange rate system. The autonomy of monetary authorities is preserved under a floating exchange rate system as there is no target exchange rate to maintain. Since 1971 exchange rate system is known as a ***non-system***. This variety of exchange rate regimes exists in today's global financial environment.

The history of exchange rate regimes can be categorised into four parts in the following way:

i) Before World War I (WWI) financial order (1870–1914)

ii) Inter-war period (1919–1939)

iii) The Bretton Woods system (1945-1971).

iv) The post-Bretton Woods system (1971–present): the non-system.

In the post-independence period, India's exchange rate policy has seen a shift from a par value system to a basket-peg and further to a managed float exchange rate system during the period 1947 to 1971. In March 1993 the system of the market-determined exchange rate was adopted. However, the RBI did not relinquish its right to intervene in the market to enable orderly control.

7.8 KEY WORDS

The black market for foreign exchange : is a market where foreign currencies are exchanged for the national currency of a country at a premium over the rate at which the value of the national currency is pegged by its monetary authority. A black market for foreign exchange is an outcome of an over-valued pegged exchange rate regime together with binding exchange control.

BoP crisis is a situation where foreign currency reserves held by a country's central bank dry up and the country defaults on payment for its imports and debt repayment. A BoP crisis emerged for India in early 1991 when it had foreign currency reserves that could barely finance a week's imports.

Clean float a regime where a country's monetary authority does not intervene in the foreign exchanges market in any way whatsoever and allows the price of its own currency in terms of a particular foreign currency to adjust to market conditions.

Conventional Pegs are those in which the authorities intervene to keep the exchange rate at a pre-arranged level.

Convertibility of rupee on capital account means the freedom to convert rupees into foreign currency and back for capital transactions. It is a feature of a nation's financial regime that centres on the ability to conduct transactions of local financial assets into foreign financial assets freely or at country-determined exchange rates. It is sometimes referred to as capital asset liberation or CAC.

Convertibility of rupee on current account implies that the Indian rupee can be converted to any foreign currency at existing market rates for trade purposes for any amount. Anyone who deals in the current account means international trade of goods and services can convert them to Indian Rupees.

Crawling Pegs when the exchange rate is regularly adjusted in the same direction by a pre-arranged amount.

Currency Boards the regime under which the *only* role of monetary policy is to keep the domestic currency's value constant relative to a particular foreign currency.

Devaluation	is a deliberate downward adjustment to the value of a country's currency relative to another currency, group of currencies or standard. Devaluation is a monetary policy tool used by countries that have a fixed exchange rate or semi-fixed exchange rate. It is often confused with depreciation and is the opposite of revaluation.
Dirty float	is a currency that floats in value in terms of other currencies but is not free of government intervention. Governments intervene to smooth fluctuations or manage a desired exchange rate.
Dollarization	involves one country unilaterally adopting the currency of another.
Exchange control	is a cap imposed by the monetary authority of a country on foreign currency buying by its domestic importers and other buyers.
Full Convertibility of rupee	fully convertible, when there are no current account or capital account restrictions for free movement of funds into and out of the country. As there are a lot of restrictions for the free movement of funds from India and also into the country, Indian Rupee is not fully convertible.
Gold standard	was an international monetary system in which gold was the reserve asset against coins and currencies in circulation in different countries. With the gold standard, countries agreed to convert paper money into a fixed amount of gold. A country that uses the gold standard sets a fixed price for gold and buys and sells gold at that price.
International currency system	defines the parameters of the foreign exchange market where national currencies are exchanged and traded.
Managed Floating Rates	these are the rates under which authorities intervene to limit short-term currency fluctuations without the goal to keep the exchange rate at a certain level.

Special Drawing Rights (SDRs) IMF created an international reserve asset in 1969 to support the Bretton Woods fixed exchange rate system. It is defined as the weighted average of four major currencies – euro, Japanese yen, pound sterling, and USD.

The Bretton Woods system was a gold-USD exchange standard that defined the international currency system during 1944-71. Currencies of different countries were pegged to the USD, which, in turn, was convertible into gold at USD 35 per ounce.

7.9 SOME USEFUL REFERENCES

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7.10 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check your progress 1

1) see section 7.2
2) see section 7.2
3) see section 7.3

Check your progress 2

1) see sections 7.4.1 and 7.4.2
2) see sections 7.4.3 and 7.4.4

Check your progress 3

1) See section 7.5.1 and 7.5.2
2) See section 7.5.1 and 7.5.2
3) See section 7.5.3
4) See section 7.5.3 and 7.5.4
5) See section 7.5.2
6) See section 7.5.3 and 7.5.4
7) See section 7.5.3 and 7.5.4

Check your progress 4

1) See section 7.6
2) See section 7.6